INDIAN STARTUP FUNDING ANALYSIS

Business & Sector Insights | 2015-2021

End-to-End Data Analytics Project Report

₹610,548.29 Cr	5,074	3,139	70.58%
Total Funding	**Funding Records**	**Normalized Startups**	**Mega Deal Share**

Tools: Python | pandas | NumPy | Plotly | Power BI | DAX | Power Query

Executive Summary

The project analyzes 5,074 Indian startup funding records from 2015 to 2021 to understand how capital was distributed across sectors, companies, funding stages, and startup hubs. **The analysis shows that headline funding totals are highly concentrated and strongly influenced by mega rounds.** This makes deal volume, median ticket size, concentration metrics, and disclosure rates essential for interpreting ecosystem performance.

- Total recorded funding was ₹610,548.29 Cr across 5,074 funding records.
- Only 68.49% of funding records disclosed an investment amount; funding-value metrics therefore represent reported values, while deal counts cover the full dataset.
- FinTech was the largest funded sector at ₹107,771.03 Cr, representing 17.65% of total funding.
- The top five sectors captured 56.85% of total capital.
- Bengaluru, Delhi NCR, and Mumbai together accounted for 85.37% of startup funding.
- Mega deals of ₹500 Cr or more contributed 70.58% of total funding.
- Average disclosed deal size was ₹175.70 Cr, while the median was only ₹16.50 Cr, confirming a heavily right-skewed funding distribution.

1. Business Problem & Objectives

Investment and strategy teams need to understand whether startup ecosystem growth is broad-based or driven by a relatively small number of large rounds, sectors, cities, or companies. The project therefore evaluates both capital volume and the structure behind that capital.

- Measure the evolution of funding and deal activity from 2015 to 2021.
- Identify the sectors attracting the most capital and the greatest deal activity.
- Compare total funding with average and median deal sizes to detect concentration effects.
- Measure funding concentration across sectors, companies, and startup hubs.
- Analyze funding stages, repeat fundraising, and mega-deal dependence.
- Translate analytical findings into practical business and investment recommendations.

2. Dataset & Analytical Methodology

Dataset Attribute	Value
Period	2015-2021
Raw records	5,074
Normalized startups	3,139
Disclosed funding records	3,475
Disclosure rate	68.49%
Raw sector/vertical labels	71
Raw city labels	72

Data preparation

- Removed technical index columns and standardized whitespace/case issues.
- Treated amount = 0 as an undisclosed funding value rather than a genuine zero-value investment.
- Created a disclosed_amount field so average and median calculations exclude undisclosed records.
- Normalized sector labels into business-friendly groups such as FinTech, EdTech, HealthTech, E-Commerce & Retail, Enterprise Tech, and Mobility.
- Consolidated raw funding-round labels into broader funding-stage categories.
- Standardized geographic variants and created a startup_hub field, including a consolidated Delhi NCR ecosystem.
- Normalized startup names using case-insensitive canonical matching.
- Engineered funding-size buckets, disclosure flags, mega-deal classification, and repeat-funding attributes.

3. KPI Summary

KPI	Result
Total Funding	₹610,548.29 Cr
Total Funding Records	5,074
Normalized Startups	3,139
Disclosed Funding Records	3,475
Funding Disclosure Rate	68.49%
Average Disclosed Deal Size	₹175.70 Cr
Median Disclosed Deal Size	₹16.50 Cr
Largest Recorded Round	₹16,650 Cr
Mega Deal Funding Share	70.58%

4. Funding Market Overview

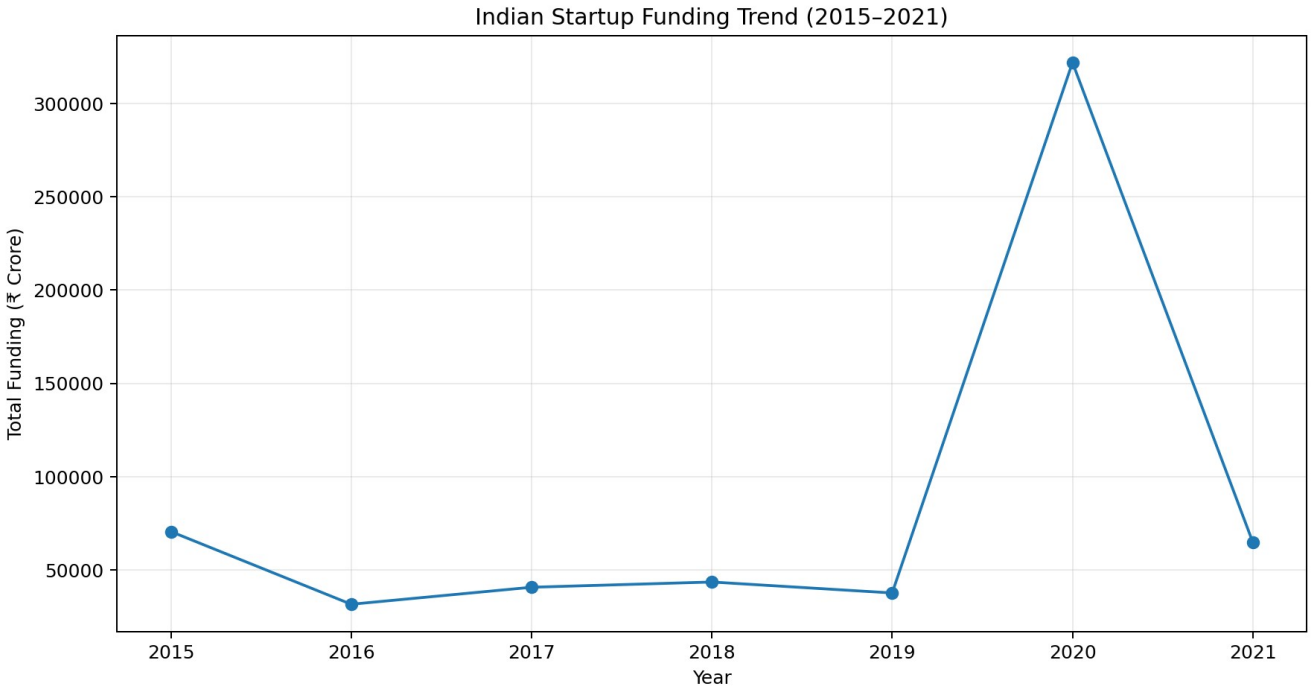


Figure 1. Annual startup funding recorded in the dataset.

Funding totals should not be read in isolation. Mega rounds account for 70.58% of total capital, and the gap between average and median disclosed deal size is substantial. These two observations indicate that a relatively small set of very large transactions materially shapes aggregate funding levels.

5. Sector Intelligence

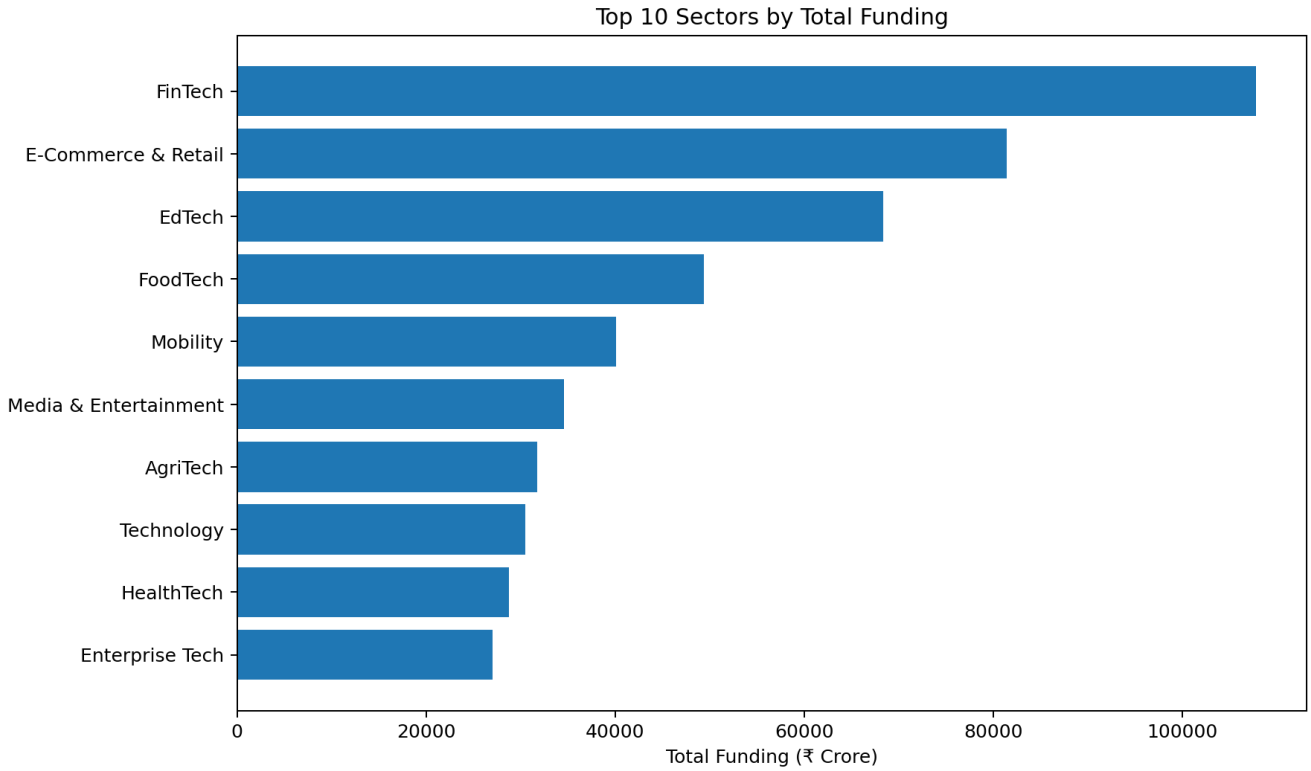


Figure 2. Top sectors by cumulative funding.

Sector	Total Funding	Funding Share
FinTech	₹107,771.03 Cr	17.65%
E-Commerce & Retail	₹81,428.66 Cr	13.34%
EdTech	₹68,387.70 Cr	11.20%
FoodTech	₹49,406.01 Cr	8.09%
Mobility	₹40,100.95 Cr	6.57%

- FinTech led all sectors with 17.65% of total capital.
- The top three sectors accounted for 42.19% of funding, while the top five accounted for 56.85%.
- Sector leadership should be evaluated alongside deal count and median deal size because high funding can result from a small number of very large rounds.

6. Geographic Ecosystem Analysis

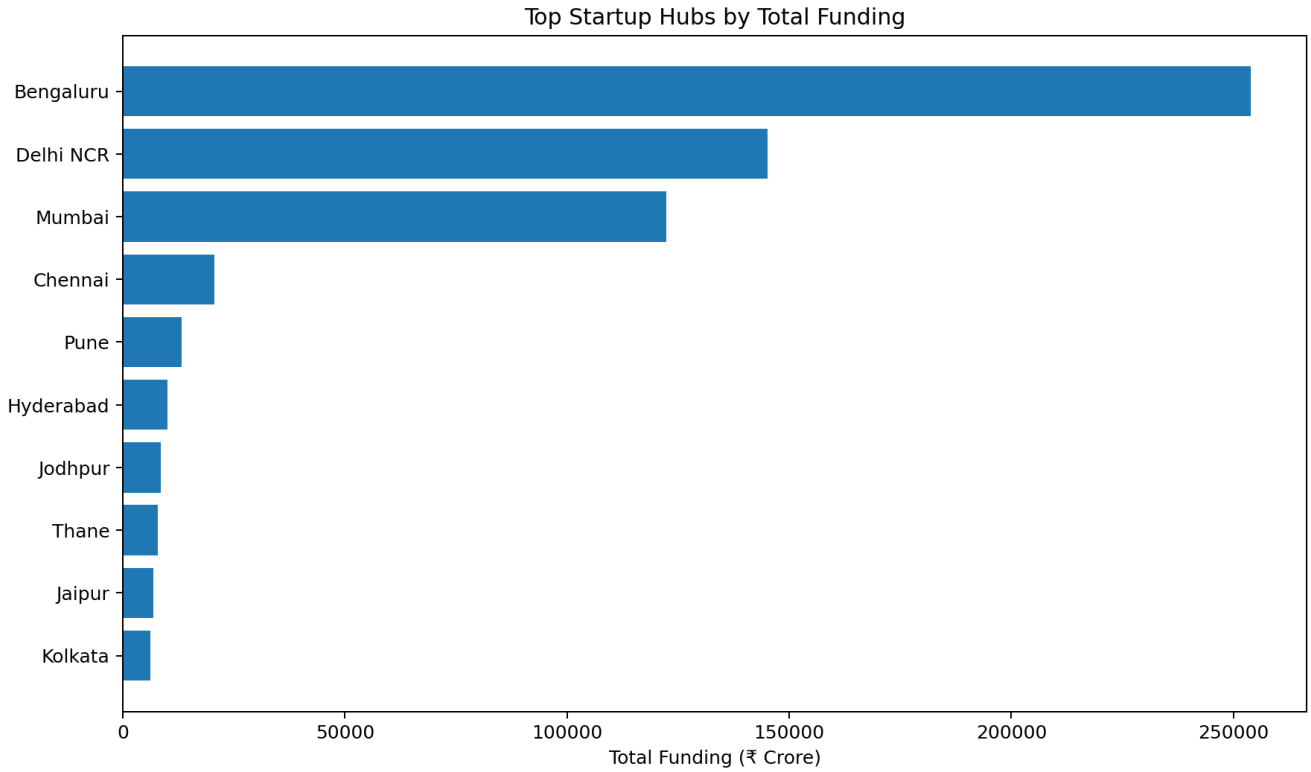


Figure 3. Leading startup hubs by total funding.

Startup Hub	Funding	Share	Funding Records
Bengaluru	₹253,840.80 Cr	41.58%	1,643
Delhi NCR	₹145,067.78 Cr	23.76%	1,502
Mumbai	₹122,315.60 Cr	20.03%	971
Chennai	₹20,684.92 Cr	3.39%	203
Pune	₹13,240.93 Cr	2.17%	194

- Bengaluru alone accounted for 41.58% of recorded startup funding.
- Bengaluru, Delhi NCR, and Mumbai together captured 85.37% of total funding, showing very high geographic concentration.
- Bengaluru also recorded 1,643 funding events, indicating that its leadership reflects both capital scale and transaction activity.

7. Startup & Funding Concentration

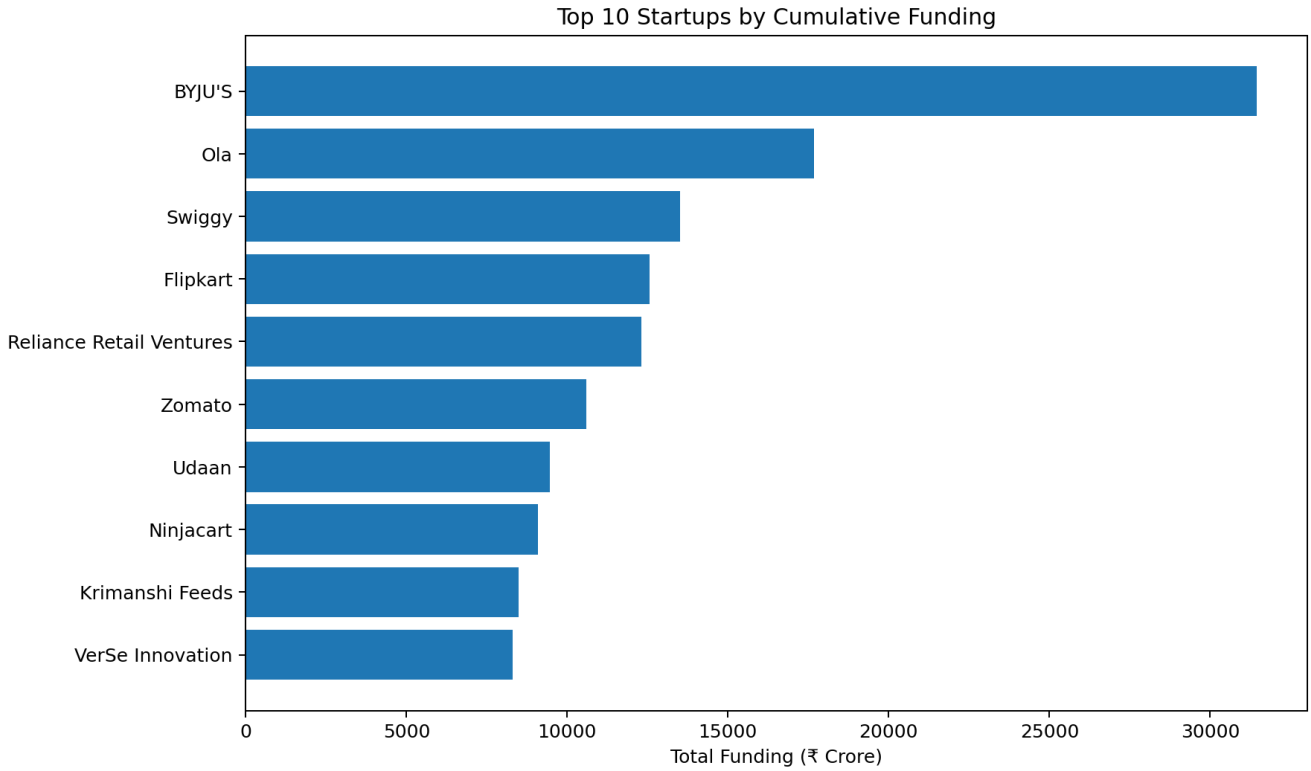


Figure 4. Top startups by cumulative funding in the dataset.

- BYJU'S recorded approximately ₹31,445.25 Cr in cumulative funding across the dataset.
- The top five startups captured 14.33% of total funding, the top ten 21.86%, and the top twenty 33.39%.
- Company-level concentration is meaningful but less extreme than the geographic concentration across the three leading startup hubs.

8. Power BI Dashboard Design

Executive Overview: Headline KPIs, yearly funding trend, leading sectors, startup hubs, and funding stages.

Sector Intelligence: Sector rankings by funding and deals, average deal size, sector trends, and funding-vs-deal activity.

Startup & Funding Analysis: Top funded startups, fundraising frequency, funding stages, stage deal counts, and funding-size distribution.

Geographic Ecosystem Analysis: Startup hub funding, deal counts, average deal size, hub funding trends, and state-level funding.

9. Business Recommendations

Track capital quality alongside capital volume - Use total funding together with deal count, median deal size, unique funded startups, and mega-deal share to distinguish broad ecosystem expansion from a handful of large rounds.

Separate mega deals in executive reporting - Show funding both including and excluding deals of ₹500 Cr or more so management can see the underlying market without large transactions dominating the headline.

Monitor sector momentum before capital peaks - Track sectors where deal activity rises faster than total funding. This can surface emerging themes before larger growth-stage rounds materially increase aggregate capital.

Use sector and geography together - Evaluate sector specialization by startup hub when prioritizing sourcing, partnerships, or market-entry research.

Expand opportunity screening beyond the top three hubs - The concentration in Bengaluru, Delhi NCR, and Mumbai is very high; secondary ecosystems can be monitored for growth in deal flow and sector specialization.

10. Data Limitations

- 31.51% of funding records have undisclosed funding values, limiting value-based comparisons.
- Investor fields can list multiple investors in one round, but the dataset does not identify each investor's individual contribution; investor-level capital allocation should therefore not be inferred.
- The analysis covers 2015-2021 and should not be interpreted as a current 2026 market snapshot.
- Sector and funding-stage groupings are analytical normalization layers created to improve comparability across inconsistent raw labels.

11. Conclusion

The Indian startup funding ecosystem represented in the 2015-2021 dataset is characterized by strong concentration across sectors, startup hubs, companies, and especially large transactions. FinTech led sector funding, while Bengaluru dominated the geographic landscape. The most important structural finding is that mega deals of ₹500 Cr or more contributed more than 70% of total funding, while the median disclosed deal remained far below the average. This means headline funding totals can overstate how broadly capital is being distributed across the ecosystem.

A stronger analytical approach combines total funding with deal activity, median ticket size, concentration measures, funding-stage patterns, and disclosure quality. The resulting Power BI dashboard provides an executive view of these dimensions and supports more informed sector, geographic, and investment research decisions.

Appendix: Key Definitions

Term	Definition
Disclosed deal	A funding record where amount > 0.
Mega deal	A funding record of ₹500 Cr or more.
Startup hub	A normalized ecosystem-level location; Delhi NCR consolidates New Delhi, Gurugram, Noida, Ghaziabad, Faridabad, and Azadpur.
Average deal size	Mean of disclosed funding amounts only.
Median deal size	Median of disclosed funding amounts only.